We deliberated on the issue of whether the Reserve Bank too should mandate all foreign banks to compulsorily operate only as subsidiaries. For sure, the issue was not black and white, there were pros and cons on either side. To get a broader opinion on the issue, we issued a discussion paper, listing the merits and demerits of both models and calling for feedback. Foreign banks from almost everywhere in the world endorsed the subsidiarization model and indicated their readiness to incorporate in India should the Reserve Bank so regulate. The only country that had a serious objection to this was the US, mainly on the ground that mandatory subsidiarization of foreign banks would erode the efficiency of capital use and therefore raise the costs of banking. International banks, they contended, should be able to freely move capital from one country to another swiftly, depending on the need. This, according to them, was good not only for the bank but for the global financial system as a whole.

We raised the issue of mandatory subsidiarization of foreign banks with the US authorities several times, including in the Indo-US economic dialogue in Delhi in October 2012, when both Treasury Secretary Geithner and Federal Reserve Chairman Bernanke were present. They reiterated their standard position. We argued that they should not be judging the issue from the narrow perspective of their self-interest but also factor in the risks and rewards of emerging markets in determining the cost-benefit calculus. The impasse persisted.

But the US opposition to our proposal for mandatory subsidiarization was not a binding constraint. Considering all the pros and cons, including the fact of broad endorsement from the foreign banking community, the Reserve Bank has since issued fresh regulations on the subsidiarization of foreign banks operating in India.

But that is not my main story. My main story is that the same US authorities who argued against our proposal for mandatory subsidiarization of foreign banks on grounds of efficient use of capital had jettisoned that principle while applying Dodd Frank regulations to foreign banks operating in the US. In particular, the Dodd Frank Act requires foreign bank subsidiaries in the US to hold higher levels of capital at par with domestic